Question #1 of 22

Question ID: 1473925

A large bank's decision to issue exchange traded notes (ETNs) that track the S&P500 index is *most likely* to be motivated by the belief that:

A) the return on the S&P 500 index would be higher than the bank's lending rate.

B) the yield on bank's unsecured debt would be higher than the swap fixed rate.

C) the return on the S&P 500 index would be lower than the bank's borrowing rate.

Question #2 of 22

Question ID: 1473906

The arbitrage gap for an ETF is *most likely* to be narrow when:

A) the ETF and the securities underlying the ETF trade in the same market.

B) the ETF represents securities that are difficult to invest in directly.

C) the securities underlying the ETF are illiquid.

Question #3 of 22

Question ID: 1473916

Consider the following two statements about exchange-traded funds:

Statement 1:	Large ETF orders may incur price-impact costs depending on the liquidity of the secondary market.
Statement 2:	ETFs that track stable indices will have a lower portfolio turnover cost.

It would be *most* accurate to state that:

A) only statement 1 is correct.

B) only statement 2 is correct.

C) both statements are correct.

Question #4 of 22

Question ID: 1473917

Compared to long-term buy-and-hold ETF investors, investors that trade frequently are *most likely* to be concerned with:

A) management fees.

B) tracking error.

C) trading costs.

Question #5 of 22

Question ID: 1473922

Zhang Wei, portfolio manager at Zenith Capital, makes the following two statements:

Statement 1:	For ETFs, hard closures entail creation halts and changes in investment strategy.
Statement 2:	When a bank ETN issuer is no longer interested in additional borrowings, the resulting creation halts may cause those ETNs to trade at a discount.

Regarding the statements made by Wei, it would be *most* accurate to state that:

A) only statement 1 is correct.

B) neither statement is correct.

C) only statement 2 is correct.

Question #6 of 22

Question ID: 1473924

Which of the following is *most likely* to represent a passive strategy for constructing an ETF?

A) Smart beta.

B) Representative sampling/optimization.

C) Alternative weighting.

Question #7 of 22

Question ID: 1473919

ETF ownership costs are *least likely* to be increased by:

A) bid–ask spreads.

B) security lending.

C) portfolio turnover.

Question #8 of 22

Question ID: 1473912

ETFs are *most likely* to underperform the benchmark by their:

A) arbitrage gap.

B) tracking error.

C) expense ratio.

Question #9 of 22

Question ID: 1473921

Settlement risk is *most likely* to be a concern for:

A) ETFs using OTC derivative contracts.

B) ETF investors where the ETF sponsors lend securities to short sellers for a fee.

C) Exchange traded notes.

Question #10 of 22

Question ID: 1473905

Which of the following is *least likely* a purpose of the in-kind creation/redemption of an ETF?

A) Lower cost.

B) Narrowing the arbitrage gap.

C) Tax efficiency.

Question #11 of 22

Question ID: 1473910

An ETF's tracking difference is *most accurately* measured as the:

A) difference between the ETF’s return (based on its NAV) and the return on the index tracked.

B) standard deviation of the difference in daily returns between the ETF and its benchmark.

C) annualized standard deviation of the differences between the daily returns of the ETF and its benchmark.

Question #12 of 22

Question ID: 1473911

All else constant, significant tracking error in an ETF is *most likely* to cause the ETF to:

A) be a poor instrument for hedging an exposure to the underlying index.

B) outperform the underlying benchmark.

C) trade at a discount.

Question #13 of 22

Question ID: 1473923

Suppose that a particular mutual fund is benchmarked against a large-cap equity index. The fund manager unexpectedly receives a large inflow of cash and wants to quickly equitize this cash. The ETF strategy *most* appropriate in order for the fund manager to achieve this goal would be:

A) portfolio liquidity management.

B) excess liquidity management.

C) portfolio completion.

Question #14 of 22

Question ID: 1473904

It would be *most* accurate to state that ETF shares can be created or redeemed by:

A) anyone, including individual investors using a brokerage account.

B) accredited investors (i.e. qualified investors) only.

C) a special group of institutional investors (APs) only.

Question #15 of 22

Question ID: 1473914

The maximum spread on an ETF is *most likely* to be negatively related to the:

A) probability of authorized participants (APs) completing an offsetting the trade in secondary market.

B) spread quoted on the underlying securities.

C) risk premium demanded by the authorized participants (APs) for carrying the trade until the close of trading.

Question #16 of 22

Question ID: 1473907

When an ETF trades on the primary market, this is *most likely* to refer to a trade that happens:

A) between APs and issuers.

B) over-the-counter.

C) on an exchange.

Question #17 of 22

Question ID: 1473909

Bob Nelson, analyst for Sigma securities, is evaluating EUXL, a leveraged ETF on European stocks. While the ETF is listed on multiple exchanges, it primarily trades on OTC markets. Nelson would *most* accurately assume that:

A) The increased settlement complexity from fragmented markets will lead to an increase in the quoted spreads.

B) OTC quotes tend to be more “live” compared to exchange quotes.

C) The increased settlement complexity from fragmented markets will lead to a decrease in quoted spreads.

Question #18 of 22

Question ID: 1473915

An ETF is *least likely* to trade at a premium/discount to its NAV when:

A) the ETF is infrequently traded.

B) the underlying securities are exchange-traded.

C) there are timing differences between the capture of the ETF trade price and the price used to calculate it's NAV.

Question #19 of 22

Question ID: 1473918

PSTO ETF is quoted at a bid-ask spread of 0.10%. ETF commissions are 0.04% of trade value. Management fees are 0.09% per year. The average annual total cost of holding the PSTO ETF for 3 years is *closest* to:

A) 0.15%

B) 0.45%

C) 0.30%

Question #20 of 22

Question ID: 1473920

Exchange-traded notes (ETNs) are similar to exchange traded funds (ETFs), in that they both:

A) are subject to total default by the issuer.

B) hold underlying securities.

C) use the creation/redemption process.

Question #21 of 22

Question #21 of 22

Question ID: 1473908

ETFs trade in:

A) both primary and secondary markets.

B) secondary markets only.

C) primary markets only.

Question #22 of 22

Question ID: 1473913

Spreads tend to be narrower for:

A) specialized ETFs such as those that track commodity indexes.

B) popular ETFs.

C) fixed-income ETFs (as compared to large-cap equity ETFs).